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Current View

FY26 Q2 Actual vs. most recent prior forecast vintage (Q1 Forecast Update, per the model's rolling forecast-bridge cadence)

FY26 Q2 revenue exceeded forecast by 6.9%, but operating margin compressed 271 bps as SG&A (+37.9%) and R&D (+45.0%) grew faster than plan. Planning focus: fund AI-enabled feature rollout and subscription growth while protecting gross margin and capital return flexibility.

Revenue

$111.2B

+6.9%

vs Q1 FC Update $104.0B (FY26 Q2)

Gross Margin

49.3%

+150 bps

vs Q1 FC Update 47.8% | Op Margin 32.3%

Cash

$45.6B

+39.5%

vs Q1 FC Update $32.7B; floor $0; see Appendix — Limitation #2

Forecast

7.5%

bias +7.5%

Revenue MAPE: Q1 vs AOP; Q2 vs Q1 FC Update

Planning Recommendation

Recommendation: Recommend maintaining the current capital-return pace through Q3 while prioritizing AI investment within existing funding capacity.

Why: Revenue beat forecast by $7,172M, but operating margin compressed 271 bps. The plan should fund growth without hiding margin pressure.

Business Partner Questions:

Commercial: is subscription attachment structurally higher? Sales: is premium feature adoption shifting upgrade timing? Operations: which AI costs can be phased?

Next step: Update FY27 AOP drivers for subscription attachment, premium feature adoption, and AI infrastructure phasing.

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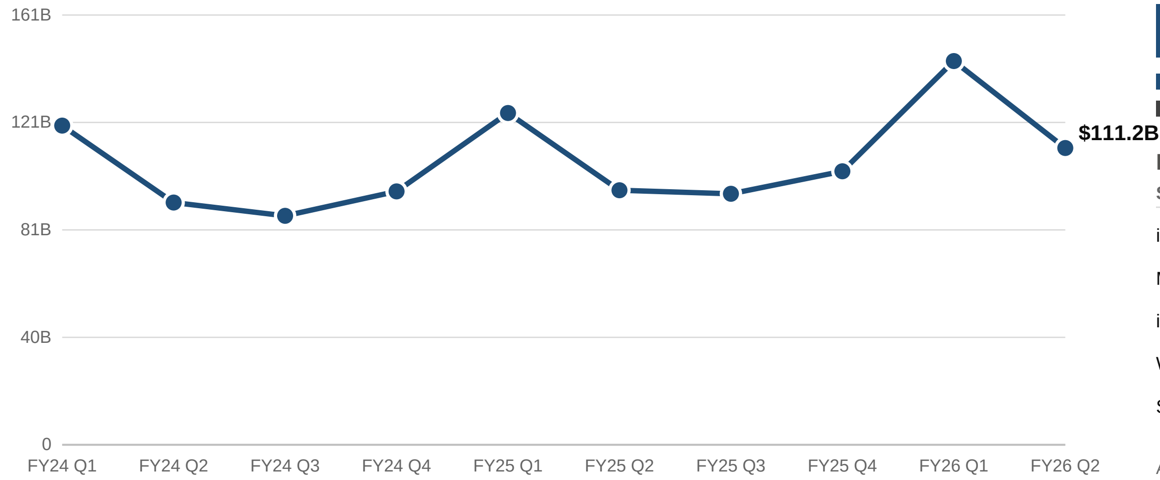
Revenue

Total-company trend (FY24 Q1 – FY26 Q2 Actuals) and FY26 Q1/Q2 segment mix, actual vs. forecast, and driver contribution

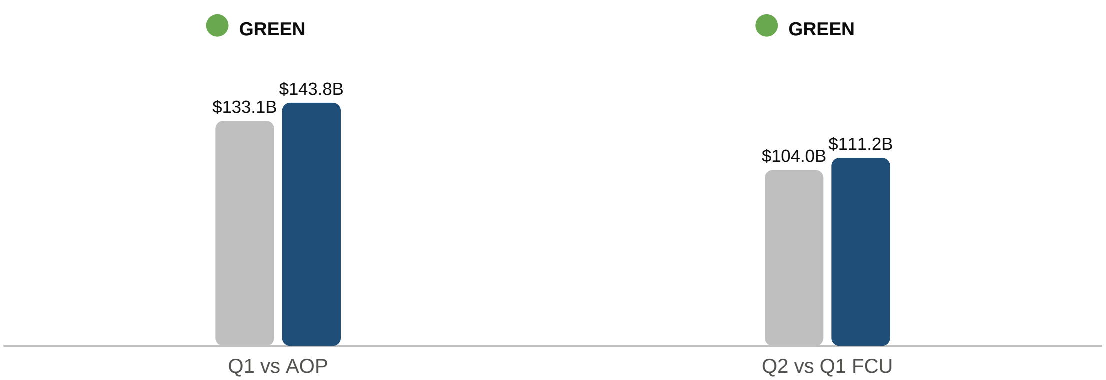
Total Revenue — FY24 Q1 through FY26 Q2 (Actual)



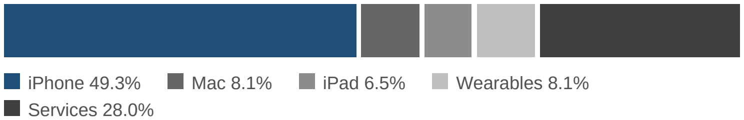
FY26 Q1 YoY: +15.7% vs FY25 Q1 ($124.3B)

FY26 Q2 QoQ: -22.7% vs FY26 Q1 ($143.8B) — Apple's holiday-quarter seasonality

Total Revenue — Actual vs. Forecast



FY26 Q2 Revenue Mix (implied Actual, by segment)

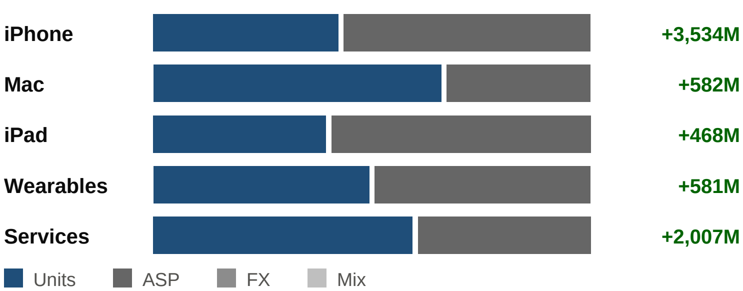


FY26 Q2 Segment — Implied Actual vs. Forecast (Q1 FC Update)

Segment	Implied Actual	Forecast	Var %	Status
iPhone	$54,785M	$51,251M	+6.9%	GREEN
Mac	$9,028M	$8,446M	+6.9%	GREEN
iPad	$7,253M	$6,785M	+6.9%	GREEN
Wearables	$9,009M	$8,428M	+6.9%	GREEN
Services	$31,109M	$29,102M	+6.9%	GREEN

All 5 segments show an identical +6.9% variance this period: each segment's Implied Actual is reconstructed from a stored Variance $ row that is Phase 3's own PROPORTIONAL allocation of the total-company revenue beat across segments (weighted by each segment's own forecast size), not an independently observed per-segment actual-vs-forecast beat or miss -- see the Power BI Build Guide §3.2 for the full method.

FY26 Q2 Revenue Variance $ Driver Contribution (Actual vs. Q1 FC Update)



FX and Mix are $0 for every segment this period because the Base scenario's own FX/Mix assumptions are 0% (a mechanical consequence of the scenario, not a bridge-method choice) — shown in the legend, not hidden.

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Operating Performance

FY26 Q2 Actual vs. most recent prior forecast vintage (Q1 Forecast Update); Gross Margin $ – SG&A $ – R&D $ = Operating Income, verified against Fact_Forecast

Gross Margin below is TOTAL-COMPANY only. Products Gross Margin % (Drivers tab Active ≈ 37.0%) and Services Gross Margin % (≈ 75.5%) are scenario-driver inputs on the Phase 3 model's Drivers tab (03 Driver-Based Rolling Forecast Model.xlsx, rows 33–34) but were never extracted into Fact_Forecast -- no Products/Services Gross Margin split exists in this data model, so none is shown as a dashboard figure here.

Gross Margin % — GREEN
49.3%
+150 bps
vs Q1 FC Update 47.8% (total company)

Operating Margin % — RED
32.3%
-271 bps
vs Q1 FC Update 35.0%

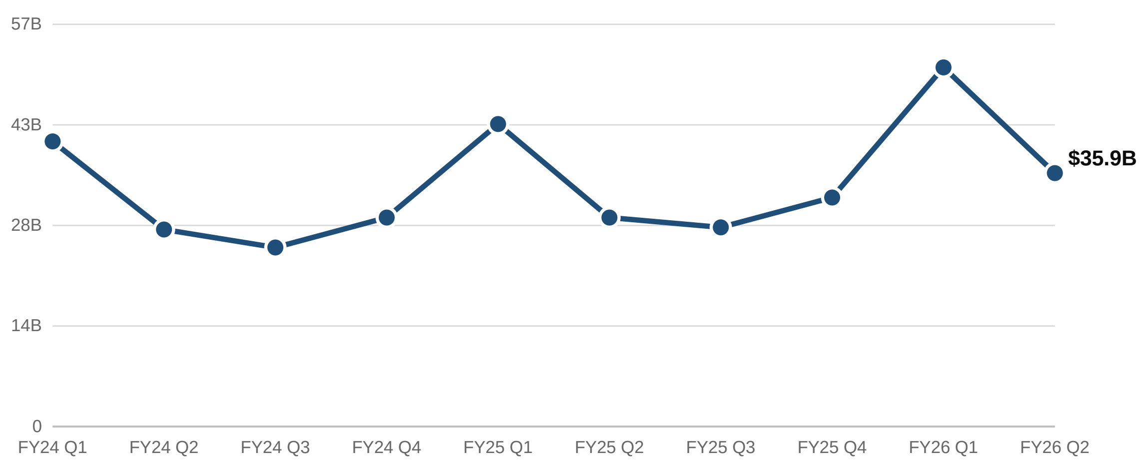
SG&A $ (Opex) — RED
$7.5B
+37.9%
vs Q1 FC Update $5.4B; lower is better

R&D $ (Opex) — RED
$11.4B
+45.0%
vs Q1 FC Update $7.9B; lower is better

Operating Income — YELLOW
$35.9B
-1.4%
vs Q1 FC Update $36.4B

EPS — YELLOW
$2.01
-1.8%
vs Q1 FC Update $2.05

Operating Income — FY24 Q1 through FY26 Q2 (Actual)



FY26 Q2 QoQ: -29.4% vs FY26 Q1 ($50.9B) — Operating Income
Actual vs. Forecast: Q1 +16.2% vs AOP (GREEN) | Q2 -1.4% vs Q1 FCU (YELLOW)

FY26 Q1 Opex Mix (Actual) — SG&A + R&D = $18,379M

FY26 Q2 Opex Mix (Actual) — SG&A + R&D = $18,896M

FY26 Q2 Operating P&L — Actual vs. Forecast (Q1 FC Update)

Line Item	Actual	Forecast	Var %	Status
Gross Margin $	$54,781M	$49,689M	+10.2%	GREEN
SG&A $	$7,477M	$5,421M	+37.9%	RED
R&D $	$11,419M	$7,877M	+45.0%	RED
Operating Income	$35,885M	$36,391M	-1.4%	YELLOW
EPS	$2.01	$2.05	-1.8%	YELLOW

Reconciles exactly: Gross Margin $ – SG&A $ – R&D $ = Operating Income for both the Actual and Forecast column above (asserted at build time, not just quoted).

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Working Capital

AR / Inventory / AP (Actual trend) and DSO / DIO / DPO (forecast-only, annual-calibrated — see caveat below)

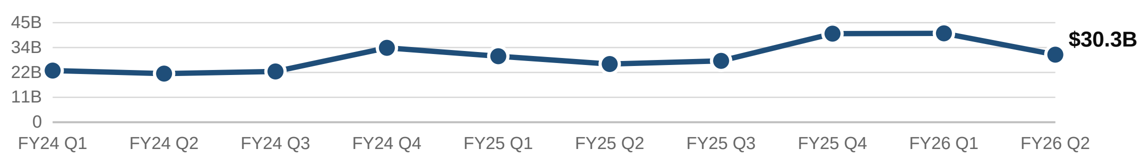
AR $	GREEN
$30.3B	
-20.4%	
vs Q1 FC Update $38.1B; lower is better	

Inventory $	RED
$6.7B	
+11.8%	
vs Q1 FC Update $6.0B; lower is better	

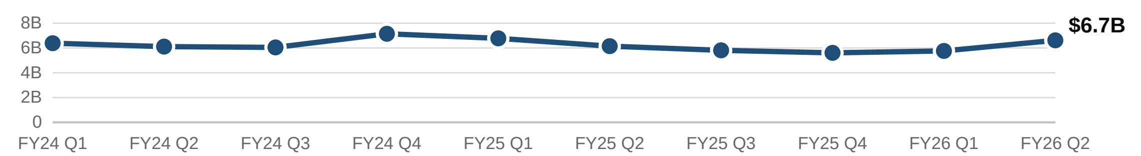
AP $	RED
$57.3B	
-17.4%	
vs Q1 FC Update $69.4B; higher is better	

Cash Conversion Cycle = DSO + DIO – DPO = 33 + 10 – 115 = -72 days (negative = suppliers fund the cycle; same forecast-only/calibration caveat applies — see below)

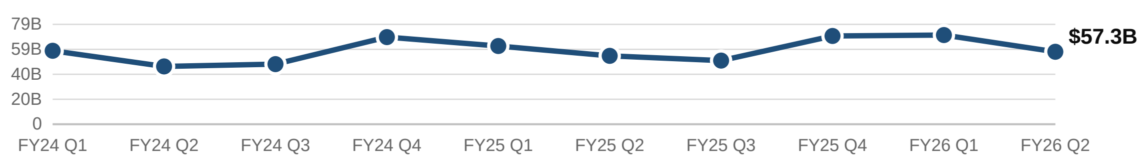
AR $ — FY24 Q1 through FY26 Q2 (Actual)



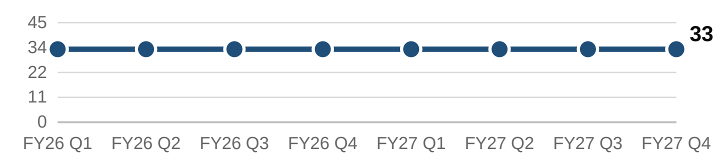
Inventory $ — FY24 Q1 through FY26 Q2 (Actual)



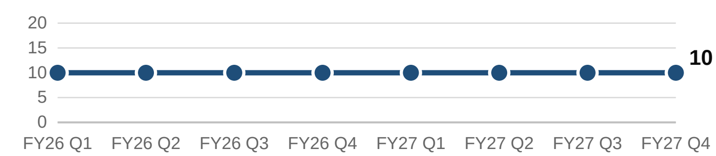
AP $ — FY24 Q1 through FY26 Q2 (Actual)



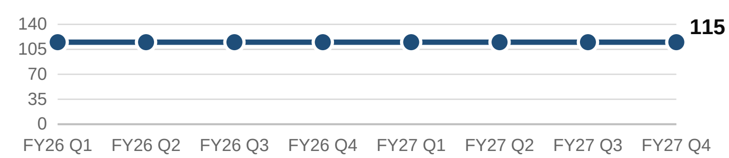
DSO (days) — FY26–FY27 (forecast, flat)



DIO (days) — FY26–FY27 (forecast, flat)



DPO (days) — FY26–FY27 (forecast, flat)



CAVEAT — Working Capital Calibration (Phase 3 disclosure: Drivers!A44, BS!A65:A66 of 03 Driver-Based Rolling Forecast Model.xlsx)

DSO/DIO/DPO (33/10/115 days) are based on year-end balances and held flat by quarter. This overstates high-revenue quarters: modeled FY26 Q1 AR/Inventory/AP run +22.2% / +31.5% / +25.8% above actuals. Treat working-capital days and CCC as directional until quarter-specific seasonality is added.

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Forecast Bridge

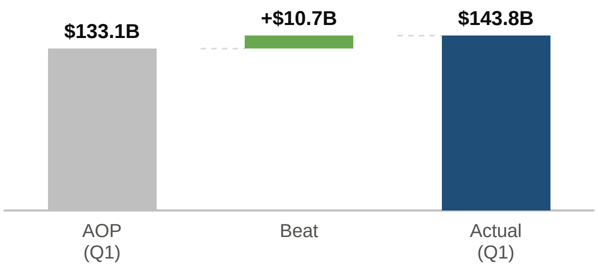
Two distinct views of the same revenue variance: WHEN it changed (Forecast Vintage Bridge) vs. WHY it changed (Driver Attribution Bridge) — not one chart

Forecast Vintage Bridge — WHEN did the forecast change?

Three separate waterfalls, one per vintage-to-vintage step -- matches Phase 3's Forecast Bridge tab exactly (not one chained AOP→Q1FU→Q3RF cascade)

Waterfall A — AOP (Q1) → Q1 Actual

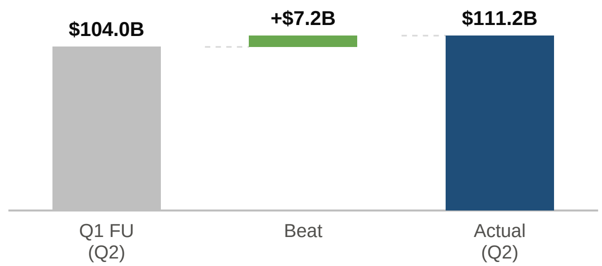
Real actual-vs-plan variance



Ties to Phase 3's Forecast Bridge tab row 26 CHECK ($10,661.77M Bridge Sum vs. IS Tab Total, diff ~$0). Re-derived here from Fact_Forecast: $133.1B, variance +8.0%, = $143.8B.

Waterfall B — Q1 FC Update (Q2) → Q2 Actual

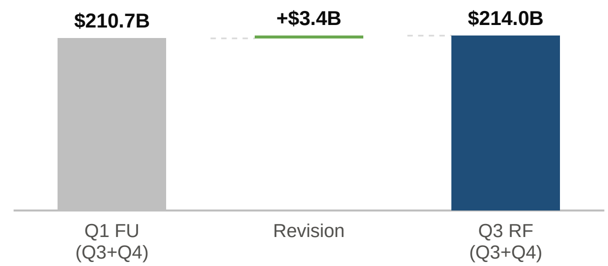
Real actual-vs-plan variance



Ties to Phase 3's Forecast Bridge tab row 37 CHECK ($7,172.07M Bridge Sum vs. IS Tab Total, diff ~$0). Re-derived here from Fact_Forecast: $104.0B, variance +6.9%, = $111.2B.

Waterfall C — Q1 FU (Q3+Q4) → Q3 Reforecast (Q3+Q4)

Forecast revision, not yet realized (Q3-Q4 FY26 haven't happened)



Ties to Phase 3's Forecast Bridge tab row 48 CHECK ($3,350.44M Bridge Sum vs. IS Tab Total, diff ~$0). Re-derived here from Fact_Forecast: $210.7B, variance +1.6%, = $214.0B.

Driver Attribution Bridge — WHY did the forecast change?

Total-company Revenue, FY26 Q2 Actual vs. Q1 Forecast Update (same comparison as Waterfall B, decomposed by driver instead of by time) -- summed across all 5 segments.

Total Company Revenue — Prior Forecast → Units → ASP → FX → Mix → Updated Forecast (FY26 Q2)

$104.0B + $7,172M = $111.2B (ties to Waterfall B's $7,172.07M and Phase 3's Forecast Bridge tab row 37 CHECK)

CAVEAT — Driver Attribution Bridge is an ESTIMATED allocation, not a causal decomposition

Apple does not disclose quarterly Units/ASP or segment actuals. The Units/ASP/FX/Mix bridge is a proportional model allocation, not measured causal attribution. The forecast-vintage bridge above still ties to actual-vs-plan and forecast-revision dollars; only this driver split is estimated.

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Scenario — Bull / Base / Bear

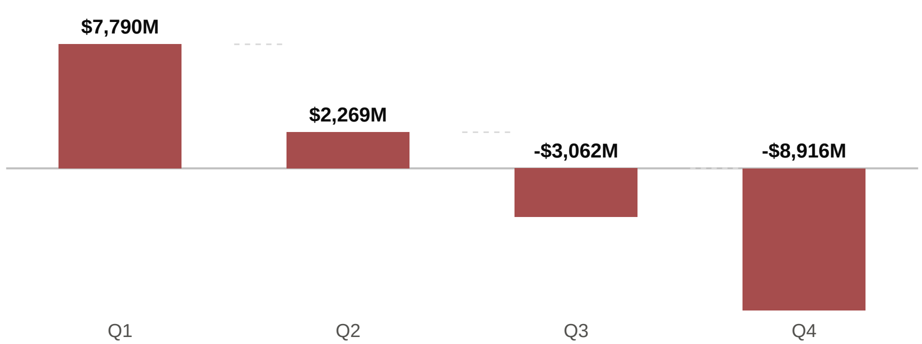
FY2027 Annual Operating Plan snapshot (period='FY27 Total', vintage='FY2027 AOP') -- the only 8 metrics with real Bull/Bear rows anywhere in Fact_Forecast

FY2027 AOP Scenario Snapshot — 8 core metrics

Metric	Bear	Base	Bull	Bear vs. Base (downside)		Bull vs. Base (upside)	
Revenue	$437.5B	$472.6B	$498.8B	-7.4%	**RED**	**+5.5%**	**GREEN**
Gross Margin $	$204.8B	$227.9B	$245.9B	-10.2%	**RED**	**+7.9%**	**GREEN**
Gross Margin %	46.8%	48.2%	49.3%	-142 bps	**RED**	**+106 bps**	**GREEN**
Operating Income	$133.9B	$157.5B	$176.0B	-15.0%	**RED**	**+11.8%**	**GREEN**
Net Income	$109.8B	$132.3B	$149.6B	-17.0%	**RED**	**+13.1%**	**GREEN**
EPS	$7.46	$8.99	$10.17	-17.0%	**RED**	**+13.1%**	**GREEN**
Cash	$56.1B	$23.4B	-$8.9B	+140.2%	**GREEN**	**-138.2%**	**RED**
FCF	$108.5B	$134.2B	$153.2B	-19.1%	**RED**	**+14.2%**	**GREEN**

Cash — Bull Scenario, Quarterly (FY2027 AOP)

Ending-balance snapshot per quarter; bar color = status vs. Base same quarter (cash_floor basis, floor=$0)



Observation

Under the Bull scenario, Cash turns negative starting FY2027 Q3 (-$3,062M) and falls further to -$8,916M by FY2027 Q4 -- two consecutive quarters below the $0 cash floor, which forces RED status regardless of the favorable Bull-vs-Base growth in Revenue/EPS/FCF shown in the table above (cash_floor's floor check short-circuits the variance check, per dashboard_calc.py). Root cause, per Phase 3's own disclosure (BS! tab, cell A2): Bull sets the Buyback_Pct_FCF_Active driver to 100% of FCF every quarter, with dividends layered on top and no revolver or cash-sweep mechanic modeled -- a deterministic drain baked in from FY2027 Q1 onward, not a one-quarter tail event. See page 7 for a quantified 3-option planning response to this finding.

SCOPE NOTE — why only these 8 metrics appear on this page

Only Revenue, Gross Margin $, Gross Margin %, Operating Income, Net Income, EPS, Cash and FCF carry real scenario="Bull"/"Bear" rows anywhere in Fact_Forecast (confirmed by querying the full fact table while building this page: exactly these 8 metric names, 15 rows each -- 4 quarters + 1 annual total, x Base/Bull/Bear -- at vintage='FY2027 AOP'). No other metric (segment revenue, DSO/DIO/DPO, CapEx $/Buyback $/Dividend $, Total Assets/Liabilities/Equity, any Bridge Variance row) has a stored Bull/Bear snapshot in this workbook -- none is estimated or fabricated here to fill out the page.

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Planning Recommendations

Planning call and business-partner questions for the next AOP refresh.

Issue / Option	Evidence	Financial Impact	Recommendation	Owner	Timing
Planning call: fund AI-enabled feature rollout in the FY27 case	FY26 Q2 revenue beat forecast by $7,172M (+6.9%), but operating margin compressed 271 bps.	R&D was +45.0% above plan and SG&A was +37.9% above plan.	Move FY27 planning to a funded AI-enabled feature rollout case. Do not hold AI spend in a generic opex reserve.	FP&A / Product Finance	Before FY27 AOP lock
Business Partner Question - Commercial / Marketing	Services variance was $2,007M in FY26 Q2 based on the model's reconstructed segment bridge.	Is subscription attachment structurally above plan, or was Q2 helped by timing, channel mix, or promotional activity?	Raise the FY27 subscription attachment case if Q3 confirms mix strength; hold ARPU flat until evidence improves.	Commercial Finance / Marketing	After Q3 results
Business Partner Question - Product / Sales	iPhone variance was $3,534M in FY26 Q2 based on the model's reconstructed segment bridge.	How much of the beat came from units, ASP, region mix, or premium feature adoption timing?	Increase the FY27 adoption-rate case only for markets where demand and channel inventory support it.	Sales / Product Finance	FY27 AOP refresh
Business Partner Question - Operations	Gross margin was 49.3% and operating margin was 32.3%.	Which AI infrastructure costs are committed, which are capacity buffers, and which can be phased?	Set a gross margin guardrail before locking AI infrastructure spend; show subscription mix offset separately.	FP&A / Operations	Next planning review
Forecast bias should be managed by driver	Revenue MAPE remains above the red threshold and bias is positive across the two available actual-vs-forecast pairs.	Repeated upside can lead to underfunded capacity, opex timing issues, and weak business-partner trust in the plan.	Track forecast error by units, ASP, subscription attachment, FX, and mix instead of reporting only total revenue MAPE.	FP&A	Monthly forecast cycle

Planning questions use public-data model outputs and reconstructed drivers. Detailed limitations are in the appendix.

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Appendix

Metric definitions, threshold assumptions, data lineage (Output tab -> Fact_Forecast reshape), and the disclosed Phase 3 modeling limitations carried into this dashboard

Metric Groups & Definitions

Group	Metrics in group	Definition / threshold basis
Revenue	Revenue, iPhone/Mac/iPad/Wearables/Services Revenue	Net sales, total company and by product segment ($M). higher_is_better, variance_pct.
Margin	Gross Margin $/%, Operating Margin %, Operating Income, Net Income	Profitability lines ($/% pairs both stored). Margin % metrics use the bps basis (green >=0bps, yellow 0 to -50bps, red worse); $ lines use variance_pct.
EPS	EPS	Diluted earnings per share ($/share). higher_is_better, variance_pct.
Cash	Cash, FCF, CapEx $, Buyback $, Dividend $	Cash balance, free cash flow, and the 3 capital-allocation outflows. Cash/FCF use cash_floor (variance_pct PLUS a $0-floor override -- below floor is always RED). CapEx $/Buyback $/Dividend $ are stored as NEGATIVE outflows and need the sign-flip rule below before variance math.
Working Capital	AR $, Inventory $, AP $, DSO, DIO, DPO, Total Assets/Liabilities/Equity $	Balance-sheet and cash-conversion-cycle lines, all variance_pct (no dedicated threshold row exists for this group in the source plan -- variance_pct was the closest generic basis available).
Cost	R&D $, SG&A $	Operating expense lines. lower_is_better, variance_pct.
Bridge Variance	Revenue/Gross Margin/Operating Income/Net Income/EPS Variance $, plus 25 per-segment Units/ASP/FX/Mix variance rows	31 metrics whose stored VALUE already IS a variance (not a raw actual needing one computed). threshold_basis=not_applicable -- render as waterfall bars, never a colored KPI tile (traffic_light_status() returns None by design).

Data Lineage

Every number in this PDF traces to one Fact_Forecast row (period, fiscal_year, fiscal_quarter, metric, scenario, vintage, actual_or_forecast, value), read via get_fact() in build_dashboard_pdf.py, which raises rather than guesses if a lookup returns 0 or >1 rows. Fact_Forecast + Dim_Metric (Apple FP&A Case Study\04a Power BI Data Model.xlsx) were built in Task 1 by reshaping the certified Output tab of 03 Driver-Based Rolling Forecast Model.xlsx (786 flat rows, read-only, never modified) into a star schema: 786 Fact_Forecast rows (exact count match, 0 exclusions) and 59 Dim_Metric rows (one per distinct metric in Output). A full row-by-row diff of period/vintage/scenario/metric/value between the Output tab and Fact_Forecast found 0 mismatches across all 786 rows, including floating-point value comparison. The workbook contains zero formulas by design -- values are literal snapshots of the Output tab's cached results, not live cross-workbook links -- and is reproducible via scripts\build_dashboard_datamodel.py. Every threshold/favorability rule in data\dashboard_calc.py is transcribed from the ReadMe tab of that same workbook, which is Task 1's own citation of authority for the rules, not this file's.

Confidence Level Rubric (page-1 KPI tiles)

High — a real, disclosed Actual figure in Fact_Forecast (not an Implied Actual), driven by directly observable inputs.

Medium — real but depends on a chained assumption (e.g. EPS's share-count/buyback timing; FCF has no real Actual row at all).

Low — depends on a Scenario-level (Bull/Bear) assumption stack with no actual data ever validating it.

Owner tagging covers page 1's 6 KPIs only, not all 59 Dim_Metric rows. Confidence Level measures assumption provenance — a DIFFERENT axis than the Forecast Accuracy (MAPE) tile, which measures historical track record. A metric can be High confidence in provenance while reading RED on accuracy this period (e.g., Revenue).

Threshold Assumptions (data\dashboard_calc.py, per the ReadMe tab)

Basis	Green	Yellow	Red	Applies to
variance_pct	fav>=0%	0 to -3%	< -3%	Most $ metrics + Revenue/OI/EPS. Sign flip applied first for CapEx $/Buyback $/Dividend $ (below).
bps	fav>=0bps	0 to -50bps	< -50bps	Gross Margin %, Operating Margin %.
cash_floor	≥floor & fav>=0%	≥floor & fav in (0,-3%]	<floor, OR ≥floor & fav< -3%	Cash, FCF. Floor check short-circuits the variance check (dashboard_calc.py Test 4).
mape (unused)	<=2%	2% to 5%	>5%	No Dim_Metric row uses this basis yet; page 1's Forecast Accuracy tile builds one explicitly (REVENUE_MAPE_METRIC_ROW).

Sign-flip rule: CapEx $/Buyback $/Dividend $ are stored as NEGATIVE cash outflows. apply_sign_convention() multiplies by -1 before variance math so a bigger outflow reads as a larger positive spend-magnitude and each metric's tagged favorability_direction (CapEx $ = lower_is_better, Buyback $/Dividend $ = higher_is_better) reads correctly. DPO/AP $ favorability = higher_is_better for both (extending payables is a cash-conversion positive) -- a Task 1 fix; see task-1-report.md's Fix Report for the corrected citation (build_drivers_tab.py DPO driver block, ~lines 253-260).

Disclosed Phase 3 Limitations (verbatim-sourced, surfaced not omitted)

1. Working-capital calibration gap (Drivers!A44 / BS!A65-66)

DSO/DIO/DPO are calibrated from year-end balances and held flat by quarter. This overstates high-revenue quarters; modeled FY26 Q1 AR/Inventory/AP run +22.2% / +31.5% / +25.8% above actuals. See page 4.

2. BS/CF cash re-anchoring (BS!A2, CF!A3)

Forecast cash rolls from the last fully modeled column rather than re-anchoring to actual overlays. This keeps the balance check at $0 but creates a cash gap versus reported cash. Disclosed limitation, not a formula error.

3. Forecast Bridge's proportional-not-causal driver attribution

Apple does not disclose quarterly Units/ASP or segment actuals. The driver split is a proportional model allocation. The forecast-vintage bridge still ties to actual-vs-plan and forecast-revision dollars.